

Analysis of Profits

Ecommerce Company

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Agenda

Company Financials Performance Overview (2024 vs 2025)

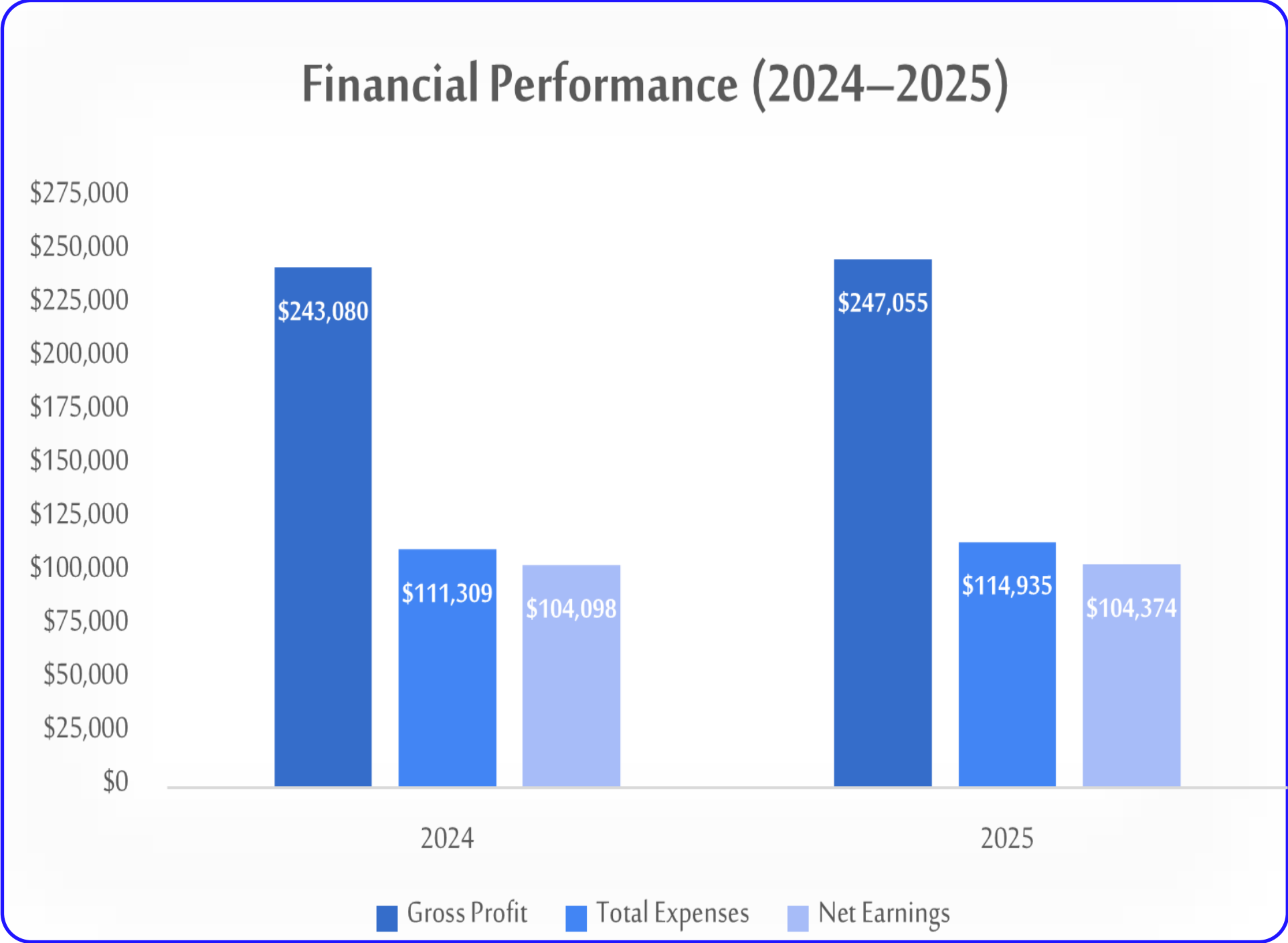
Margin Profitability Analysis (2024 vs 2025)

Stable Operating Profitability Despite Margin Pressure

Products Performance and Margin Impact

Recommendation

Company Financials Performance Overview (2024 vs 2025)



Gross Profit
\$3,975+

▲ 1.6%
Primarily driven by higher sales volume.

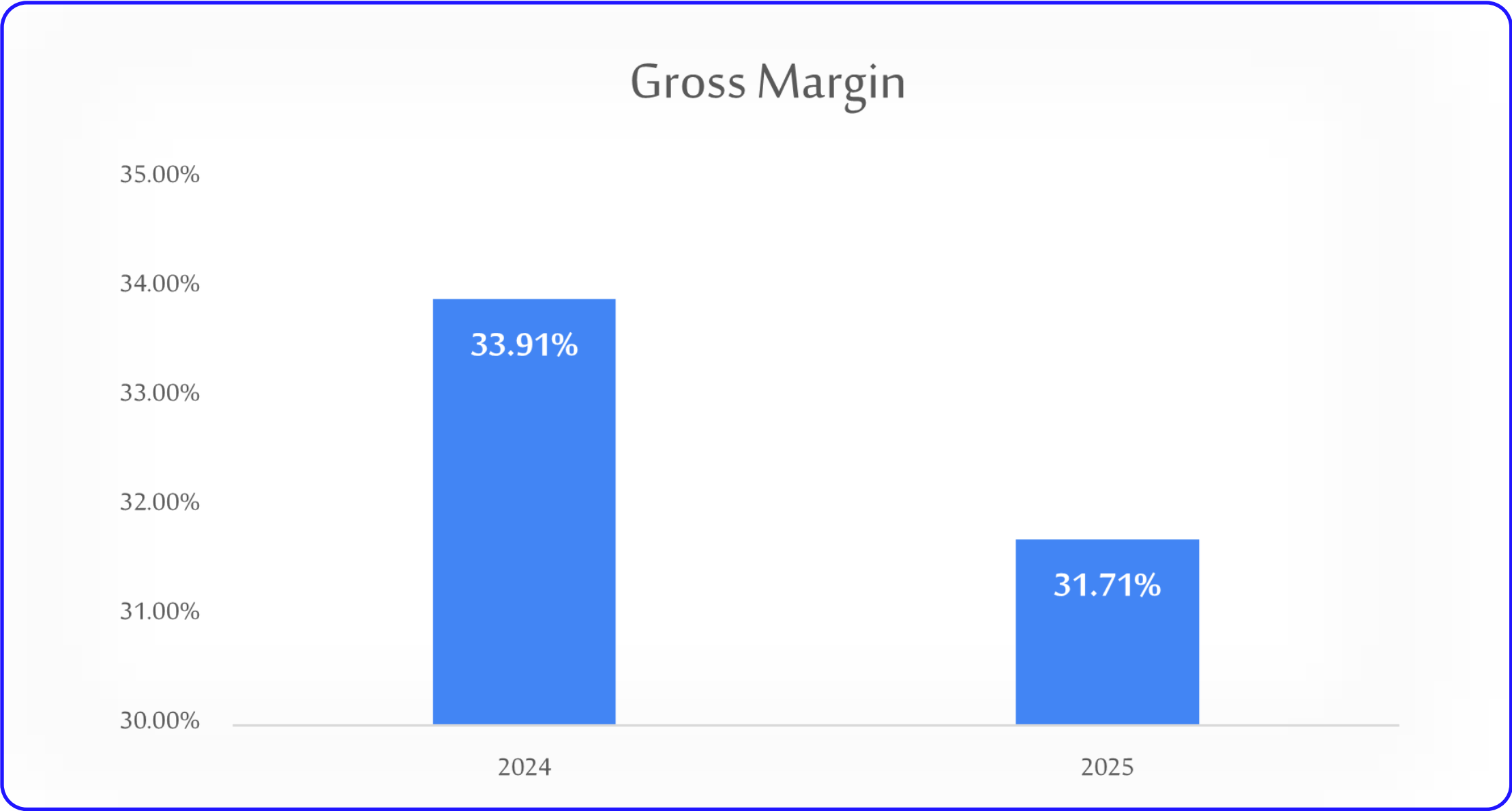
Total Expenses
\$3,626 +

▲ 3.3 %
Operating costs increased **twice as fast as profit**

Net Earnings
\$ 276 +

▲ 0.3 %
Expense growth absorbed most of the additional profit, leaving bottom-line performance nearly Unchanged.

Margin Profitability Analysis (2024 vs 2025)



Net Sales
\$62,232+

▲ 9%

Cogs
\$58,257+

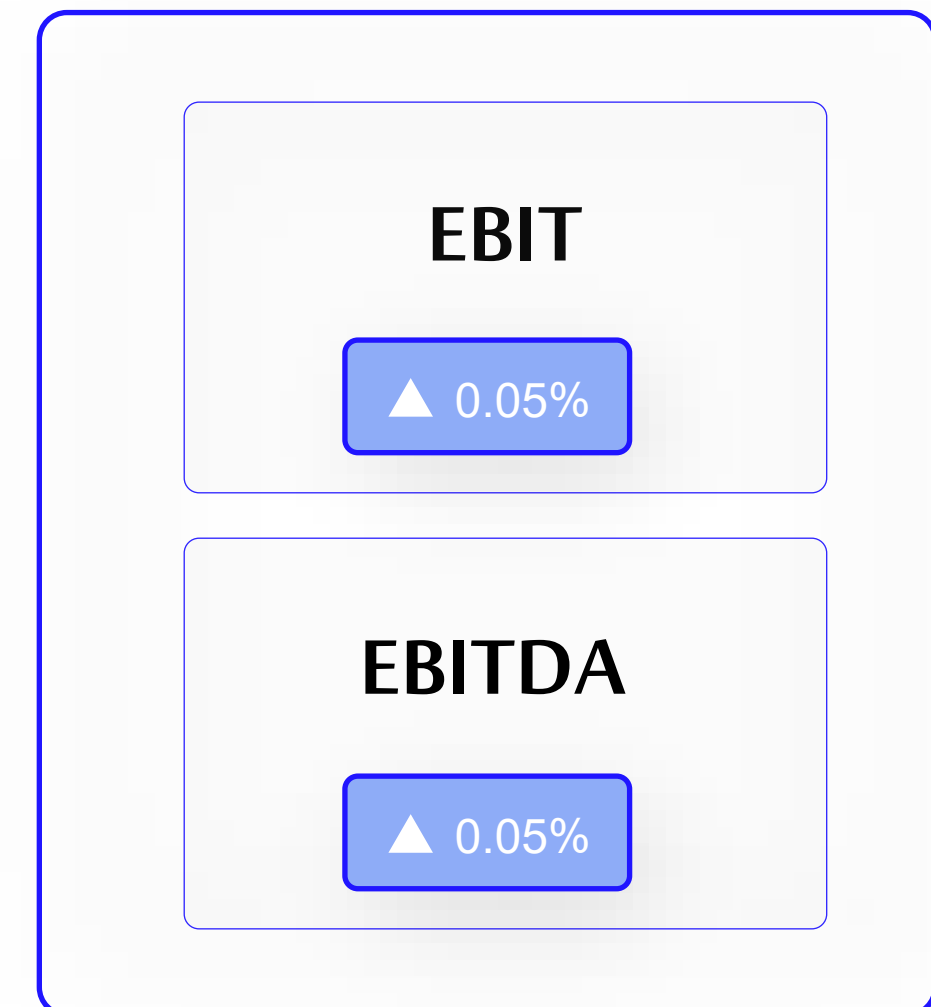
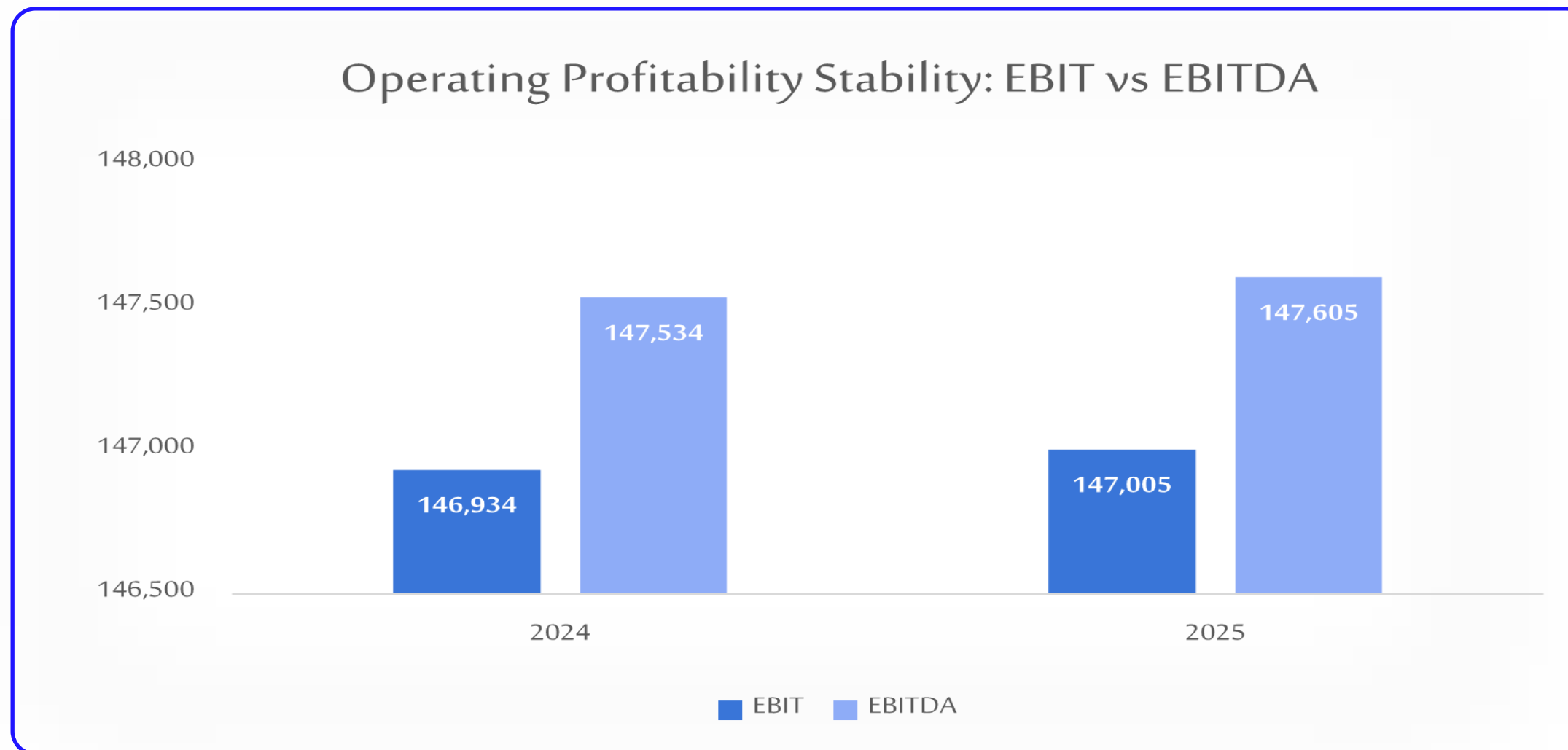
▲ 12%

Gross Margin %

▼ 2.2%

Gross Margin declined **2.2 percentage points**, from **33.9% to 31.7%**, as COGS grew faster than revenue. While sales volume is growing, **profitability efficiency is weakening** due to rising product costs.

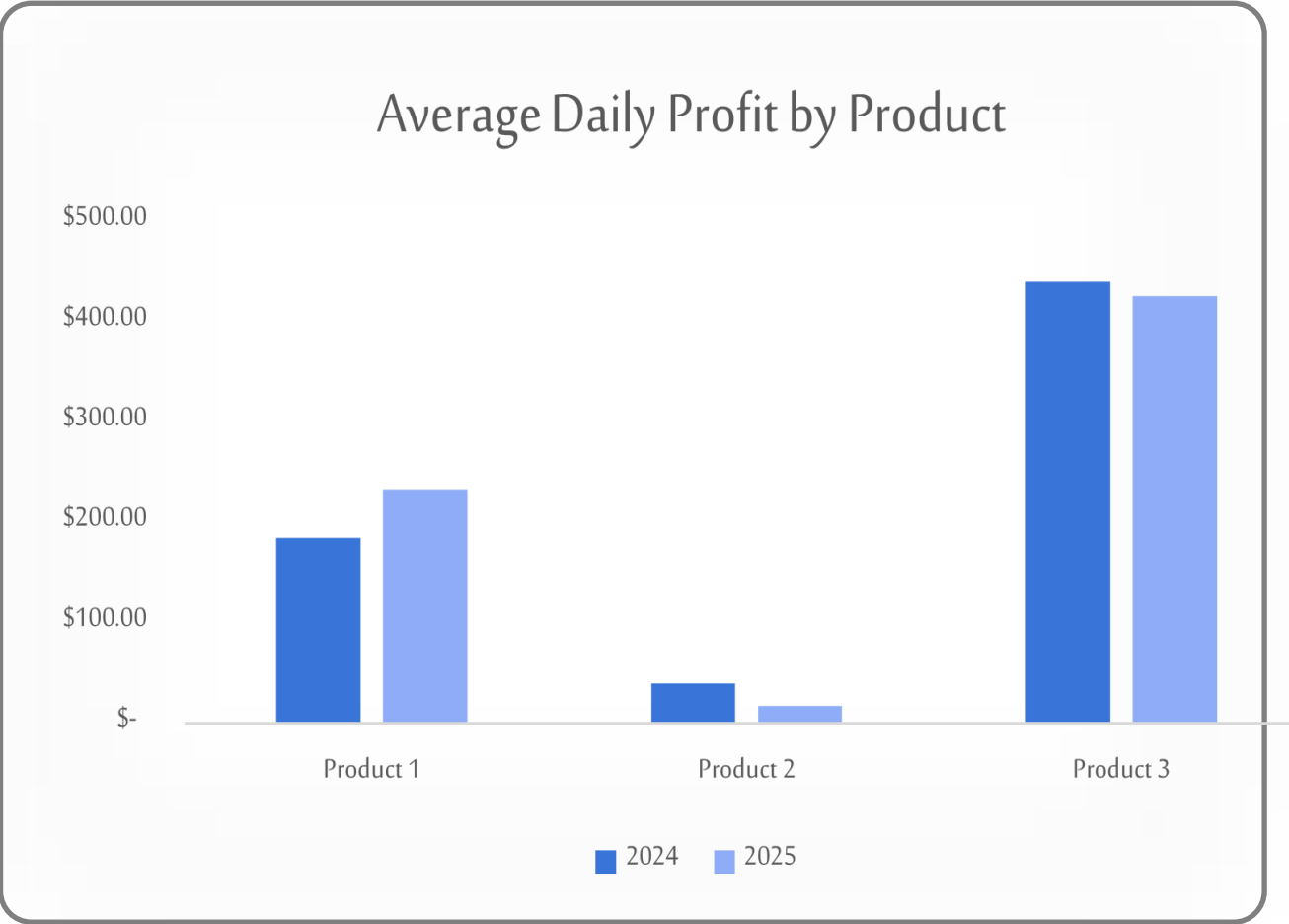
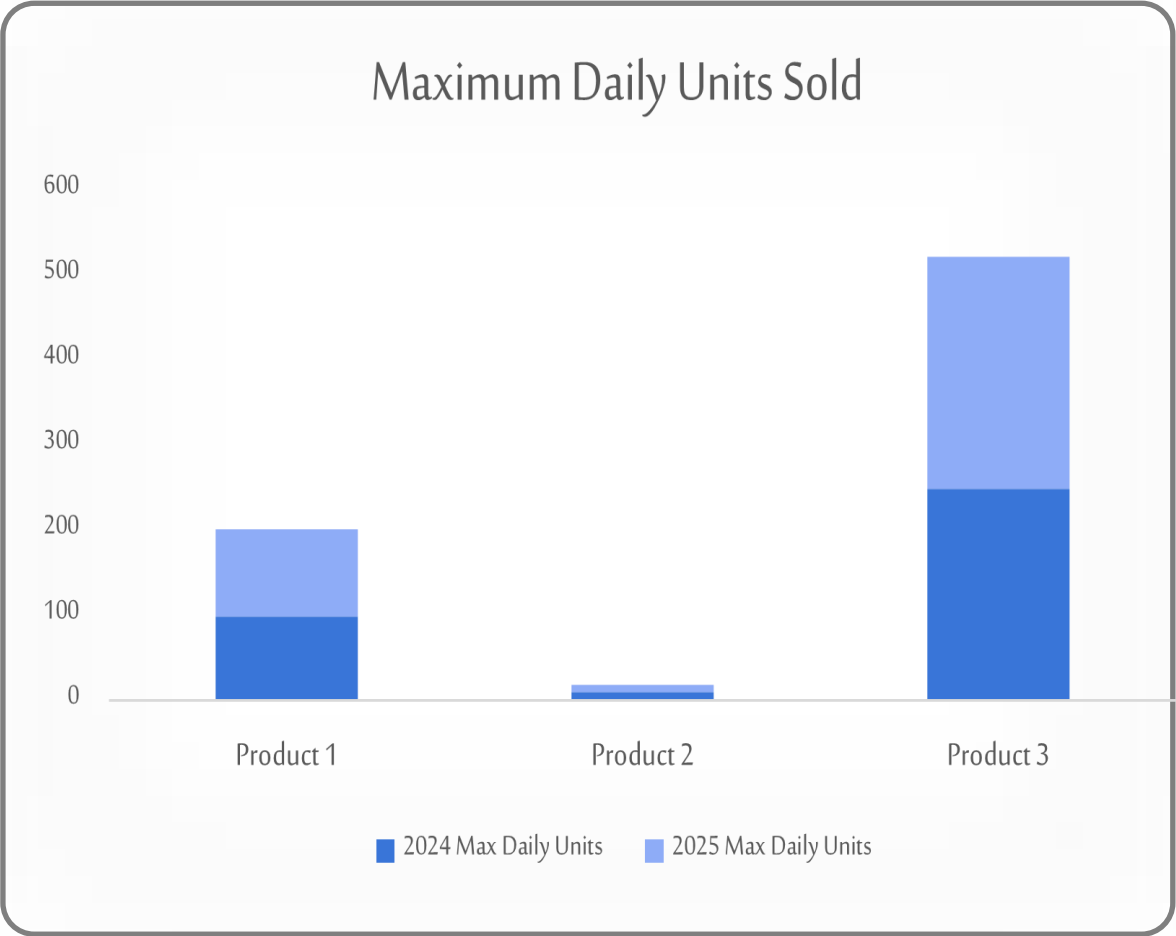
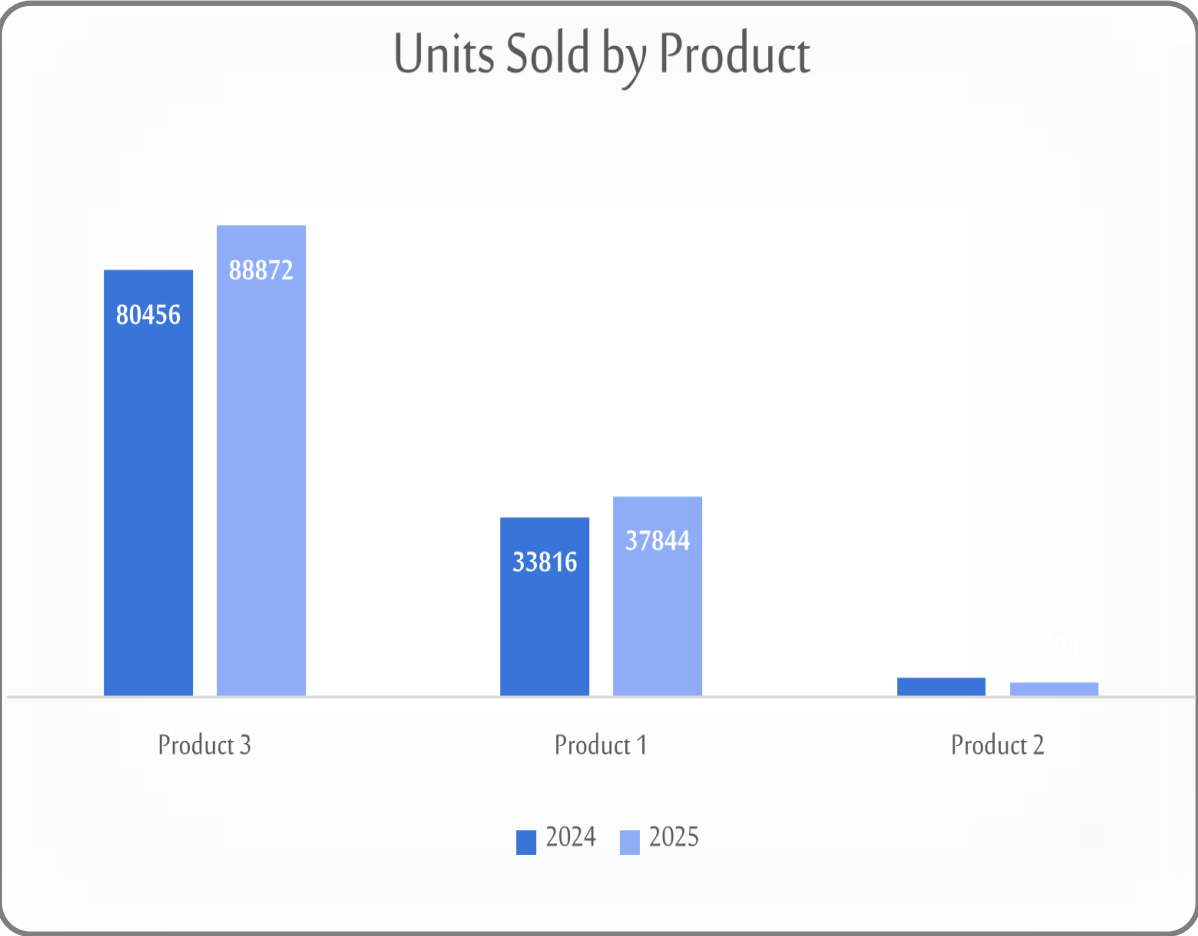
Stable Operating Profitability Despite Margin Pressure



• **EBIT and EBITDA remained almost unchanged between 2024 and 2025.**

This indicates that operating expenses and non-cash charges –Amortization – remained stable. Therefore, the decline in profitability observed earlier is **primarily driven by rising COGS rather than operating inefficiency.**

Products Performance and Margin Impact



Product1

Units Sold: +12% growth (33,816 → 37,844)

Profitability: Average daily profit increased by +26% (\$185 → \$233)

Product2

Units Sold: -23% decline (3,634 → 2,798).

Profitability: Average daily profit declined by -56% (\$39 → \$17)

Product3

Units Sold: +10% growth (80,456 → 88,872)

Peak Demand: Highest single-day sales across both 2024 and 2025(249 → 273 units)

Profitability: Average daily profit declined by -3% (\$441 → \$426).

Product 3 remains the primary driver of sales volume and peak demand. However, its slight decline in profitability aligns with the earlier financial analysis showing that **COGS increased faster than revenue**, leading to margin compression. Meanwhile, **Product 1** is emerging as a strong growth contributor with improving profitability, while **Product 2** shows declining demand and performance, indicating a potential need for strategic reassessment.

Recommendation

➤ **Protect Margins on Product 3**

- Product 3 drives the majority of company sales but shows early signs of margin pressure due to rising COGS.
- **Action:**
- Negotiate supplier costs and optimize logistics.
- Evaluate alternative suppliers.
- Optimize shipping or fulfillment costs.

➤ **Scale Product 1 as a Growth Engine**

- Product 1 demonstrates strong growth in both sales and profitability.
- **Actions:**
- Increase advertising spend on high-performing channels.
- Feature the product more prominently on the store.
- Expand sales channels (e.g., marketplaces or social commerce).

Recommendation

➤ Reassess Product 2 Strategy

- Product 2 shows declining demand and profitability.
- **Action:**
- Analyze pricing and customer demand.
- Reduce marketing spend if ROI remains low.
- Consider repositioning or discontinuing the product.

➤ Strategic Insight

- Improving supplier costs for Product 3 while scaling Product 1's growth potential and reassessing Product 2 can significantly strengthen the company's overall profitability.